



Logistics

What if we invest in a logistics business?

How do we track it after we invest in it?

- They will communicate how many trucks they have and how much storage space they have almost every three months.
- We can compare the warehousing space for various companies, fleet size, pincodes covered and so on.

Secondly, what proportion of their revenues are generated by value-added services?

- Let's say that warehousing and trucking which are commodity businesses account for 80% of the revenue, and remaining 20% comes from value-added services, which is high margin business.

Therefore, we must identify KPIs which can be compared over time and across various companies.

Understanding and analysing the factors responsible for a company's success are quite subjective. KPI's help us track both a company's and industry's performance.



Asset Management Companies

Now, let us consider an Asset management Company.

If we are looking to invest in a mutual fund company, we should constantly monitor the proportion of AUM(Assets under management) invested in debt and equity as debt is a low-profit business than equity. We need to evaluate the AUM size.

We may add other metrics to the list such as the number of branches or any other factor that makes sense economically and is connected to the company's success and revenue.